

APPROVED

By Stefanie Boster at 8:10 am, Apr 20, 2022

RESOLUTION NO. _____

ENTITLED: “A RESOLUTION SUPPORTING THE CITY OF CHEYENNE’S APPLICATION FOR A UNITED STATES DEPARTMENT OF COMMERCE, ECONOMIC DEVELOPMENT ADMINISTRATION AMERICAN RESCUE PLAN ACT TRAVEL, TOURISM, AND OUTDOOR RECREATION GRANT FOR THE 15TH STREET RAILCAR RENOVATION PROJECT.”

WHEREAS, the City of Cheyenne (“City”) requests assistance in financing the movement of three railroad vehicles located in the Union Pacific Railyard and Lions Park to City owned property on 15th Street to fully renovate them for display as historic artifacts or use as space for retail, dining, or small business use.

WHEREAS, Cheyenne approved a new Tourism Master Plan that includes the development of a new railroad attraction as one of its top goals and this project will be a catalyst for future development along 15th Street; and

WHEREAS, the City is applying for an Economic Development Administration Grant in partnership with Visit Cheyenne for the movement and renovation of three railcars; and

WHEREAS, the total estimated cost for this project is \$773,000.00

WHEREAS, a grant in the amount of eighty percent (80%) of that cost, or \$618,400, is being requested from the Economic Development Administration; and

WHEREAS, the required match, or \$154,600 will be paid from the City of Cheyenne’s 6th Penny Grant Match account.

NOW, THEREFORE, BE IT RESOLVED BY THE GOVERNING BODY OF THE CITY OF CHEYENNE, WYOMING, that

- 1) the Governing Body of the City of Cheyenne, Wyoming supports an EDA American Rescue Plan Travel, Tourism, and Outdoor Recreation grant application for 15th Street Railcar Renovation Project;
- 2) the Mayor of the City of Cheyenne or other City official designated by the Mayor, is authorized to sign an application for a grant for the project; and
- 3) that the Mayor of the City of Cheyenne is hereby designated as the authorized representative of the City to act on behalf of the Governing Body on all matters relating to this grant application, and in the event grant funds are awarded to the City of Cheyenne for this project, the Mayor is authorized to execute the grant agreement and associated documents.

PRESENTED, READ, AND ADOPTED THIS ____ day of May 2022.

Patrick J. Collins, Mayor

(Seal)

ATTEST:

Kristina F. Jones, City Clerk



Cheyenne Railcar Renovation Project

1/28/2022

Contact Information:

Renee Smith, Grants Manager
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ED-900 – General Application for EDA Programs

B. Project Information

B.1. Provide a geographic definition of the region to be served by the investment (project), including the specific geographic location of the project within the region.

The City of Cheyenne (City), with a population of 64,822, is located at the northern end of the Rocky Mountain Front Range Urban Corridor in Laramie County, Wyoming. The county covers 2,688 square miles in the Southeast Region of the state and has a total population of 100,512 (2020). It is the crossroads of two major interstate highways and two major railroads, hosting an estimated 1.1 million overnight visitors in 2019. 15th Street is located in Census Tract #56021000700.

Cheyenne is home to two SBA Opportunity Zones located south and northeast of downtown which seek to encourage investment in economically-disadvantaged and distressed areas. In 2021, the City created the Urban Renewal Authority as a state-enabled economic development tool to identify deteriorating or underdeveloped blighted areas in the community to focus revitalization efforts and funding mechanisms. Two downtown areas within our project zone have been designated as “blighted” and appropriate for urban renewal actions as describe in the State of Wyoming Urban Renewal Code (Wyoming Statute 15-9-103). A portion of the 15th Street Railroad Attraction is located in the Reed Avenue Rail Corridor blighted area and the Hynds/Hole blighted area is only one block away from the Attraction in the lower downtown district, both of which have been included as significant project goals in the Tourism Master Plan - Downtown Experience and Development recommendations. The *Cheyenne Railcar Renovation Project* is a catalyst for the economic vision and revitalization efforts in these blighted areas and the greater downtown district.

B.2. Describe and outline the scope of work for the proposed EDA investment, including a list of tasks to be undertaken.

The City of Cheyenne was founded in 1867 by the Union Pacific Railroad and served as a lifeline to the west. As an anchor on 15th Street, the historic UPRR Depot is a National Historic Landmark and is the last

remaining grand railroad station on the transcontinental route. Cheyenne is seeking to invigorate its core downtown area through tourism development. The *Railcar Renovation Project* is a component of a larger Railroad Experience that will extend to 15th Street along the Union Pacific railroad tracks, creating an indoor/outdoor recreation, dining, and shopping venue, inviting the creation of new and innovative small businesses. The project will rebuild the Cheyenne travel industry after the pandemic and create a new capacity for long-term hospitality industry growth in the region as the project engages a global community of rail enthusiasts. Wyoming is home to seven National Parks, drawing four million visitors each year. A robust tourism strategy for Cheyenne, the gateway to the state, aims to entice these visitors to stay and spend in the downtown district. This project will reshape the physical and social character of this historic district and encourage diverse entrepreneurial private investment.

In 2021, Cheyenne approved a new Tourism Master Plan that included the development of a new railroad attraction as one of its top goals. The main objective of this project is to showcase Cheyenne's railroad heritage in a very tangible way, building on the historic depot and proximity to the Union Pacific yard. This railroad themed district will include railroad cars that are both historic displays and locations for businesses such as retail shops, souvenir stands, snack shops, etc. This railroad experience will encourage private investments for the revitalization of the original buildings north of 15th Street that date back to the transcontinental railroad days. Cheyenne is experiencing a growth in technology, manufacturing, and entrepreneurialism that will be enhanced by the revisioning of this corridor.

The *Railcar Renovation Project* will move three railroad vehicles (a historic locomotive, business/passenger car, and caboose) to the City-owned attraction site on 15th Street and will fully renovate them for display as historic artifacts or as space for retail, dining, and small business use.

Scope of Work:

Bids: The City of Cheyenne is committed to the practice of advancing equity and support for underserved communities, ensuring that both the City and bid applicants strictly adhere to federal and state procurement guidelines. The City will follow established sealed bid procedures for appropriate components of this project and will engage personnel using strong labor standards to include higher than average wage rates and the hiring of local workers to complete the project. The City's Purchasing Policy and Procedure Guide is included as an attachment and contract documents will be made available to EDA upon request. 1) The first component of the project will be the contract to move the three vehicles to the attraction site. The locomotive is located in a Cheyenne park and the two other cars are in the Union Pacific Railyard just south of the attraction site. 2) The second bid will entail the hiring of a company to perform the renovation work on the three vehicles at the attraction site under a temporary building to shield the work from the elements and as a safety precaution required for asbestos abatement.

Preparation of the Attraction Site: The successful bid will include the construction of a temporary building to perform the renovation work at the attraction site.

Train car Transport (3): The contracted agent will move the three vehicles from their sites to the attraction site.

Train car Renovations (3): As an element of the renovation project, asbestos abatement will be performed on the Locomotive in addition to the full scope of work for all 3 vehicles. Note: Asbestos abatement will be completed on the remaining cars as necessary and funded independent of this grant request.

Project Completion: Anticipated Summer 2024.

B.3.b. Describe the economic conditions of your region. Define the economic development needs to be addressed by the proposed EDA investment and explain how the proposed investment will address that need.

The COVID-19 crisis has created economic hardships throughout the State of Wyoming; Cheyenne and Laramie County in Southeast WY are no exception. As is widely known, Wyoming's economy lacks diversification and is overly dependent upon the energy sector. The ¹**2018 WY ENDOW PLAN** states this fact clearly in its name - Economically Needed Diversity Options for Wyoming – and in its preamble:

We must evolve beyond the boom-bust cycle of our economy, wherein 70% of state revenue comes from the energy and mineral industry. We must facilitate diverse, broad, and lasting growth so that the state can prosper no matter the economic climate or status of commodity prices.

The COVID crisis continued this decline in energy sector revenue and employment and forced the state to pivot and actively attack its job losses and lack of economic diversification. Significant fluctuations have destabilized this regular source of state income, creating a level of uncertainty for the future. Areas in the lower downtown area of Cheyenne, while ripe for redevelopment, remain depressed despite some forward progress. Economic activity is minimal on 15th Street where five of the eight storefronts along the critical two blocks of the attraction site are vacant and have been for years.

Wyoming's 2018 ENDOW Plan named **Tourism and Recreation** as one of the top economic engines to create economic opportunity, job growth, and diversification. According to Visit Cheyenne, if the travel industry were a single business, it would rank as Laramie County's third largest employer behind Frances E. Warren Air Force Base and The State of Wyoming.

Tourism experienced the sharpest decline in jobs among the state's economic sectors as a result of the COVID-19 pandemic. International tourism has come to a standstill, and stay-at-home orders limited travel and spending significantly. Wyoming's leisure and hospitality industry suffered a 16.4% Gross Domestic Product decline in 2020. Overall, Wyoming's GDP dropped by 8.3% in 2020, ranking WY as one of the states with the largest GDP declines: Hawaii's - 9.7 %, Alaska -8.7%, Wyoming -8.3%, Oklahoma -7.7%, Louisiana -7.5%. (Source: Economic Analysis Division of the Wyoming Department of Administration and Information)

In 2019, the community gathered to complete a Downtown Economic Assessment which was compiled into the ²**Forward Greater Cheyenne Community & Economic Development Strategy**. The community believes that “a vibrant downtown offers residents and families of all ages and backgrounds a gathering place and an economic and social center of gravity – a destination for shops, restaurants, and other businesses, and a place where people can socialize. Such a center could serve as a quality of life amenity for the entire community – not only to attract new residents, but to also retain existing residents and give them an alternative to travelling to Fort Collins and other Colorado communities to have fun.” The goal is to create a downtown experience built on the talents and entrepreneurial spirit of Cheyenne's residents. Cheyenne offers unique opportunities within a favorable tax and regulatory climate and low cost of doing business. This project will introduce new business opportunities for women or people of color to set up their own businesses and create a lasting footprint on 15th Street.

This project supports the community's ³**Tourism Master Plan** which aims to increase the economic impact of the visitor experience through the development of additional tourism assets, strengthening the community brand as a global destination, working with community partners toward shared goals, and giving visitors more reasons to stay longer and spend more with local businesses and attractions.

The *Railcar Renovation Project* will bring much needed private sector investment, new business activity, and career opportunities to this targeted, yet blighted, area of Cheyenne's downtown.

¹ENDOW: Economically Needed Diversity Options for Wyoming <https://www.endowyo.biz/>

²Forward Greater Cheyenne Community & Economic Development Strategy:
<https://www.forwardgreatercheyenne.org/>

³Cheyenne Tourism Master Plan: <https://www.cheyenne.org/info/about-cheyenne/tourism-masterplan/>

B.4. Applicant's capability

The City of Cheyenne has the capacity to manage a project of this nature with systems, policies, and procedures in place to ensure compliance and fiscal integrity of the project. The City uses a cross departmental and highly skilled team approach and follows strict adherence to the policies and procedures as approved by the City of Cheyenne Governing Body to include: the City of Cheyenne Accounting Policies and Procedure, Grants Management Policies and Procedure, and the Procurement Policy and Procedure Handbooks. The City's Planning & Development Department will function as the lead as they also oversee the Urban Renewal Districts near the 15th Street site. The City of Cheyenne, which owns the attraction site along 15th Street, has extensive experience managing federal grants and is audited annually.

Visit Cheyenne (VC) is the official tourism marketing organization for Cheyenne and Laramie County. VC plans, creates, and implements marketing, sales, and development efforts for the region. VC has earned the highest level of organizational accreditation, passing 80+ industry standards defined by Destinations International, the world's organization for destination management organizations.

B.5. List and describe the strategic partners and organizations to be engaged in this project.

City of Cheyenne: Applicant and Project Manager. Owns the attraction site on 15th Street and the three rail vehicles. Performs Grant Management, Procurement, Permitting, and Accounting functions.

Visit Cheyenne: Partner and Advisor. Provides coordination of efforts with the City, publicizes progress, and ultimately will market the railroad attraction to visitors.

B.6. Describe the investment (project) impact and fit with EDA funding priorities.

The proposed *Cheyenne Railcar Renovation Project* aligns closely with the EDA's Recovery and Resilience investment priority to build a framework of economically diverse resiliency that is responsive to economic disruptions.

This project broadens and diversifies economic activity in Laramie County by growing the travel industry using the area's natural strength in the railroad industry. Building the travel industry will help the county

recover from the pandemic and will shield it from future shocks. In addition, the project builds long-term tourism resiliency by creating new economic development infrastructure with various partners all leveraging their resources.

The Forward Greater Cheyenne Downtown Revitalization Initiative is committed to facilitating the revitalization of Downtown Cheyenne through a series of intentional public and private investments, new incentives, and redevelopment projects. The Downtown Development Authority and Visit Cheyenne have collected comprehensive community feedback from the Historic West Edge Reimagined (2014), West Edge Area Plan (2016), Downtown Core Plan (2016), Strategic Parking Management Plan (2017), Main Street America Transformation Strategies (2017), Reed Avenue Rail Corridor Plan (2018), and Cheyenne Tourism Master Plan (2021) – to leverage existing infrastructure and funding mechanisms to reimagine Cheyenne’s travel and tourism industry and begin implementing many of the above mentioned recommendations. The additional project phases to establish all 15 rail cars as part of the rail experience will create more opportunity and stability among small businesses that can adapt to economic turbulence.

Equity:

The travel-related jobs created from this project will most likely benefit female, minority, and younger workers in Cheyenne. According to the U.S. Travel Association and the Economic Policy Institute, African-Americans, Hispanics and other minorities account for 36% of the travel industry workforce, compared to 30% for the rest of the economy. In addition, 24% of travel industry workers are under the age of 25, compared to 13 percent for other sectors. This project will provide more equitable career/work/play opportunities may otherwise be unattainable in the downtown district.

B.7. Identify the proposed time schedule for the project.

TASK	SCHEDULE	LEAD	OUTPUT
Bid Process Opens	Aug – Sept 2022	City of Cheyenne	1. Transport agency 2. Renovations/Rehab contractor
Selection of Contractor/Permit Process	Oct – Dec 2022	City/Contractor	1. Prepare attraction site 2. Obtain necessary permits for project
Transport Railcars	Jan – Feb 2023	Transport Company	Transport railcars to 15 th Street site
Renovation Process	Mar 2023 – Aug 2024	Contractor	Complete rehab/renovations on railcars

B.8. Economic impacts of the project

B.8.a. Please describe the economic impacts of the project.

The *Railcar Renovation Project* will provide economic benefits to the blighted area of downtown Cheyenne in several ways.

1. Construction: The City of Cheyenne is committed engaging local contractors and suppliers during the construction process by adhering to fair and equitable procurement standards and providing equal

opportunity to all bid applicants. Using the construction expenditure per job ratio from Associated Builders and Contractors, this project is estimated to create **4.9 FTEs**.

2. Increased Tourism: The project is projected to attract an additional 730 travel parties over its first two years in operation (1 additional travel party per day). Using visitor profile and economic impact data from the input-output analysis performed by Dean Runyan Associates for the WY Office of Tourism, spending from these new visitor parties (\$387 per party) will support **2.8 FTEs** during these two years. (Every \$102,419 in visitor spending supports 1 job in the Laramie County economy as businesses hire additional staff to handle the new business activity.) Creating a downtown experience that provides both indoor and outdoor engagement opportunities will reduce economic and societal barriers and improves quality of life for all communities. An increase in tourism spending also supports individual economic growth for wage earners through the support of small businesses, hotels, and restaurants.

3. Increased Business Investment: As tourism activity increases, additional business activity is projected in vacant storefronts nearby. Cheyenne's economic development and small business agencies provide comprehensive support to facilitate success and foster a pride of place and ownership that will combat worker shortages sparked by the coronavirus pandemic. Two new businesses are expected in the first year after project completion with an additional business expected in year 2 for a total of **4.5 FTEs** (estimated 1.5 FTEs per business).

TOTAL JOBS OVER 2 YEARS after completion

12.2 FTE

C. Regional Eligibility

C.1.Region. Define the area/region that is the basis for the applicant's claim of eligibility. EDA will review and evaluate documentation submitted by the applicant to verify and determine eligibility.

The City of Cheyenne meets the eligibility requirement C.1.c – “State, county, **city**, or other political subdivision of a State, including a special purpose unit of a State or local government engaged in economic or infrastructure development activities, or a consortium of political subdivisions;”

The Railcar Renovation Project in Cheyenne Wyoming (Laramie County) further meets the eligibility requirements of addressing the impact of the coronavirus pandemic on our travel and tourism industry by creating and/or retaining jobs as well as increasing the economic diversity or resilience of a region.

D. Budget and Staffing

D.1. Budget justification

TASK	EDA Grant	CITY - Match	TOTAL	NOTES
Site Prep Work & Rail Car Transportation	\$106,400	\$ 26,600	\$133,000	Temporary Facility/Scaffolding & Transportation of Railcars
Asbestos Remediation	\$ 28,000	\$ 7,000	\$ 35,000	Locomotive Asbestos Abatement/ Removal

Construction/Renovation	\$484,000	\$121,000	\$605,000	Cleaning, Renovation, Painting of Railcars
Other				
TOTAL	\$618,400	\$154,600	\$773,000	

D.2. Indirect Costs

The City of Cheyenne and Visit Cheyenne will contribute personnel costs for the management of the grant as in-kind services, including planning, bidding procedures, permitting requirements, coordination with Union Pacific and other partners, communication with 15th Street merchants and landowners, management of contractors, and oversight of project costs.

D.3. Key applicant staff

Primary Applicant:

City of Cheyenne

* Charles Bloom, Director of Planning and Development

* Renee Smith, Grants Manager

* Domenic Bravo, CEO, Visit Cheyenne

* Jim Walter, Vice President, Visit Cheyenne